

Table 49.9 Busted Patterns

Description	Bull Market	Bear Market
Busted patterns count	1,398 or 16%	505 or 18%
Single bust count	785 or 56%	386 or 76%
Double bust count	429 or 31%	64 or 13%
Triple+ bust count	184 or 13%	55 or 11%
Performance for all busted patterns	−22%	−25%
Single busted performance	−24%	−27%
Non-busted performance (pipe tops)	−19%	−24%

Busted occurrence. Of those pipes that bust, most single bust followed by double and triple+ busts (more than two busts), in that order. That may sound like it's the proper sequence, but I've seen triple+ busts come in second place in a number of other chart patterns.

Busted and non-busted performance. I used pipe tops as the proxy for pipe bottoms with downward breakouts. Busted pipes outperform pipe tops in both bull and bear markets. I'm not a fan of shorting a stock, but if you see a pipe bottom that busts, consider shorting it.

Trading Tactics

Table 49.10 shows trading tactics.

Measure rule, targets. The measure rule is a guide (not a rule, really) that traders use to set a price target. To use it, compute the height of the pipe from the higher of the two spikes in the pattern to the lower of the two spikes. Add the height to the taller of the two spikes to get a target price.

The bottom portion of the table shows how often price reaches the target based on various heights used in the computation. If you use the full height, price will reach the target 60% or more on average. Cut the height in half, add it to the breakout price, and the success rate climbs to 84% or higher.